

Form No: HCJD/C-21
ORDER SHEET
IN THE LAHORE HIGH COURT
MULTAN BENCH MULTAN.
JUDICIAL DEPARTMENT

W.P.No.12580/2011.

Behram Khan Vs. Chairman Strategic Division.

S.No. of order/ proceeding	Date of order/ proceeding	Order with signature of Judge, and that of parties or counsel, where necessary.
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04.06.2013. Mr. Muhammad Jehangir Khan, Advocate, for the
petitioner.
Mian Abdul Basit, Advocate, for the respondents.

Brief facts of the case are that the petitioner served in Pakistan Atomic Energy Commission and after the age of superannuation, has been retired and he is drawing pension at the prescribed rate. The grievance of the petitioner is that in the Annual Budget Bill for the year 2010-2011, the Federal Government increased the pension of all the pensioners from 01.07.2010, for the said budget. It was also decided to grant medical allowance at the rate of 25% and 20% for all the government pensioners, who retired in Pay Scale No.1 to 15 and 16 to 22 respectively. In this regard, the Government of Pakistan Finance Division (Regulations Wing), vide its office memorandum dated 05.07.2010 conveyed the sanction of the President of Pakistan to the initiation of medical allowance with effect from 01.07.2010 to all the civil pensioners of the Federal Government including Civilians paid from Defence estimates and Civil Armed Force. However, the said allowance was not extended to the petitioner by the Pakistan Atomic Energy Commission.

2. The learned counsel for the petitioner argued that Pakistan Atomic Energy Commission (PAEC) while issuing the order for the increase of pension, has not included grant of medical

allowance to the pensioners and in response to petitioner's application, it is informed that the grant of medical allowance with pension has not been extended to the pensioners of PAEC and matter is being pursued actively and as soon as the approval of the competent authority is received, the same will be implemented promptly for retired employees and widows of PAEC. It is argued that the respondents were bound to extend medical allowance to the petitioner in view of above said Notification.

3. At the very outset, the learned counsel for the respondents has raised preliminary objection that this writ petition is not maintainable as the grant of medical allowance with pension by the Government of Pakistan, Finance Division, is not extendable to pensioners of PAEC, unless the competent authority of PAEC approves the said allowance in its own Service Rules applicable to the pensioners including the petitioner. The learned counsel argued that the aforesaid medical allowance and other pensionery benefits are granted under the Employment Service Rules of Pakistan Atomic Energy Commission (PAEC) and the said rules are not statutory in nature, therefore, the writ petition is not maintainable. Reliance is placed on the judgment of learned Division Bench of Islamabad High Court passed in **I.C.A. No.247/2010** titled "Directorate (Admn.) PAEC Vs. Nasir Mahmood" and the law laid down in Dr. Nazar Ahmad Vs. Federation of Pakistan through Federal Secretary and three others (2012 PLC (CS) 1537).

4. Arguments heard. Record perused.

5. The first question for determination is whether the grant of medical allowance by Finance Division vide Office Memorandum dated 05.07.2010 will automatically apply to the employees of PAEC, without any amendment in the Service Rules of PAEC, by the Competent Authority.

6. To adjudicate this question, the perusal of law under which PAEC has established is relevant. The Pakistan Atomic Energy Commission (PAEC) is working, controlled and regulated by National Command Authority (NCA) under the National Command Authority Act (Act of 2010) and the services of employees of PAEC are governed under the PAEC Employees Service Regulations 2011 (ESR 2011). The aforesaid Service Regulations are framed by the National Command Authority under Section 7 (d) and 9(3) read with section 15 of the Act of 2010 by the authority which are reproduced hereunder:-

S. 7(d): “to prescribe specific terms and conditions of the employees including but not limited to, appoints, removals, promotions, transfers, integrity and reliability assessment and other related matters”;

S. 9(3): “The authority shall categorize the nature of service of the employees on the basis of the sensitivity of the functions and then shall frame rules, criterion, assessment basis for each set of employees and no employee shall have a vested right for any post, assignment, emoluments, promotion, privileges, transfer, deputation etc.”

S. 15: **Power to makes Rules.** “The Authority may make rules for carrying out the objectives of this Act”.

7. The Authority has been defined under Section 2(a) read with section 3 of the Act of 2010 as under:-

S.2(a). “Authority” means the National Command Authority established under Section 3 of this Act.

S.3. Establishment of the Authority: The National Command Authority already established by the

competent authority shall deem to be the Authority established under this Act.

8. The perusal of aforesaid provision of Act of 2010 makes it evident that petitioner is an employee of PAEC which is autonomous organization governed under the Act of 2010 and the service of the petitioner is governed under the Employees Service Regulations 2011 made by the Authority defined under the Act of 2010, therefore, cannot not claim any benefit arising out of any Finance Division letter and policy issued and meant for employees of the Federal Government as of right unless the said policy or benefit has been adopted by the competent authority u/s 7 (p) of the Act of 2010 which is reproduced hereunder:-

S.7(p). “to declare application of any other existing law, provisions of law rules, regulations etc., to its employees, procedures, establishment, sites, building, lands assets, equipments, partly or fully, as the case may be;”

In view of above, the terms and conditions of employees of Federal Government will not become applicable automatically on the employees of PAEC without adopting and declared applicable by the authority for the employees of PAEC.

9. The perusal of aforesaid Act of 2010 also shows that it has an overriding effect on the other provisions of law including the Civil Servants Act 1973 and the PAEC Ordinance 1975 under section 21 of the Act of 2010 which is reproduced hereunder:-

“The provision of this Act shall have effect notwithstanding anything to the contrary contained in any law for the time being in force particularly the Civil Servants Act, 1973 (LXXI of 1973) or Pakistan Atomic Energy Commission Ordinance 1965 (XVII), or the Pakistan Space and Upper Atmosphere Research Commission Ordinance, 1981 (XX of 1981) or any other law or rules made there under for the time being in force an applicable to Strategic Organization.”

In view of aforesaid, the argument of learned counsel for the petitioner that merely because the Government of Pakistan, Finance Division issued Memorandum dated 5th of July 2010 allowing the medical allowance to all civil pensioners of Federal Government, therefore, the petitioner automatically be entitled to the same being employee of PAEC has no force.

10. Even otherwise, it is held by Division Bench of Islamabad High Court vide order dated 22.03.2013 in I.C.A. No.247/2010 titled “Directorate (Admn.) PAEC Vs. Nasir Mehmood” that the service rules of PAEC under which the services of petitioner is being governed are not statutory in nature, therefore, no constitutional jurisdiction is maintainable. In the said case, Division Bench also placed reliance on the law laid down by the August Supreme Court of Pakistan in case titled “Muhammad Idrees Vs. Agricultural Development Bank of Pakistan and others” (PLD 2007 SC 681). The question that no writ is maintainable against the organization which does not have statutory rules further supported by the law laid down by the August Supreme Court as well as by this Court in the following case law Executive Council, Allam Iqbal Open University, Islamabad through Chairman and another v. M. Tufail Hashmi (2010 SCMR 1484), Muhammad Qasim and six others Vs. Home Department, Government of Punjab through Secretary, Civil Secretariat Lahore and two others (2004 PLC 69), Muslim Commercial Bank Ltd. and two others v. Muhammad Umar Malik (PLD 1993 Lah. 281), Ghous Bux v. Muhammad Suleman and others (2011 MLD 1159), M/s. Standard Hotels (Pvt) Ltd. v. M/s Rio Centre and others (1994 CLC 2413), M/s Abdul Hamid v. Board of Intermediate and Secondary Education (1991 MLD 672) and Mst. Iqbal Begum v. Frooq Inayat and others (PLD 1993 Lah. 183).

11. In view of aforesaid discussion, this writ petition has no substance and the same is dismissed.

(Abid Aziz Sheikh)
Judge

Approved for reporting.

Judge.

Riaz Ahmad**